

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$212.99 ▼ 2.56%	12M Price Target \$245.00	52-Week Range \$61.44 – \$329.88	Market Cap \$191.17B
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MRVL: AI Custom Silicon Story Intact Despite Musk Noise

WHAT HAPPENED

- Stock ripped 13% on Monday (Aug 4) then gave back 2.6% today — this is classic "buy the AI story, then digest." The catalyst was AWS CEO basically saying AI capacity is sold out through 2028, which is HUGE for Marvell because they make the custom chips (ASICs) that power AWS's Trainium AI accelerators. When Amazon says "we can't build data centers fast enough," Marvell sells more silicon.
- Today's dip is Musk-driven noise — he said something bearish about Nvidia that spooked the whole chip complex. But note the low volume (6.3M vs 33M yesterday) — this is profit-taking, not a change in thesis.

WHY IT MATTERS

Here's what really matters: the AWS comment is a leading indicator that hyperscaler capex (the massive spending by Amazon, Google, Microsoft on AI infrastructure) isn't peaking — it's accelerating into 2027-2028. Marvell is one of only two companies (Broadcom being the other) that designs custom AI chips for these giants, so demand visibility just got extended by 18 months. The Bloomberg headline about the US ban on Chinese optical parts is actually a subtle positive for Marvell — they make optical interconnect chips (the stuff that moves data between servers at light speed), and if Chinese competitors get locked out of hyperscaler supply chains, Marvell picks up share. The bearish options flow (that \$300 put) is likely hedging, not directional betting — someone owns a lot of stock and is buying insurance after the 13% rip.

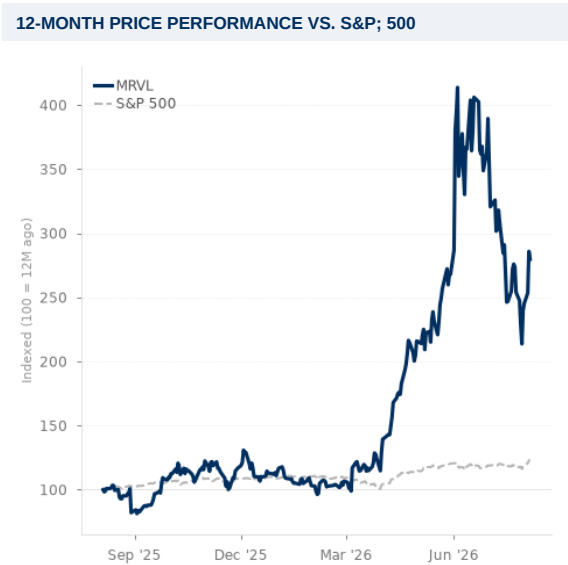
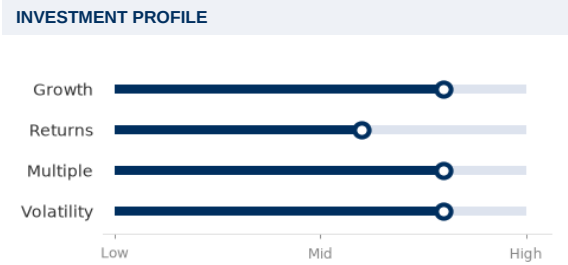
POLICY & POLITICAL WATCH

The big one is the US ban on Chinese optical components — this is happening RIGHT NOW and directly benefits Marvell's optical/networking business, which is roughly a third of revenue. Also watch the CHIPS Act 2.0 discussions in Congress; the original CHIPS Act gave semiconductor companies tax credits and grants for US-based manufacturing, and any expansion would flow to Marvell's design-and-fab-in-US strategy. The wildcard is Taiwan — Marvell fabs most of its chips at TSMC in Taiwan, so any escalation in China-Taiwan tensions or new export controls is a direct risk to supply.

IS IT EXPENSIVE?

At \$213, Marvell trades at roughly 75x forward earnings — meaning investors are paying \$75 for every \$1 of profit expected next year. That's expensive vs. the S&P at ~22x, but cheaper than Nvidia at ~40x on much slower growth or AMD at ~55x. The bull case is that if AI revenue hits \$8B by FY2028 (up from ~\$2B two years ago), the multiple compresses fast and the stock looks reasonable — that's the bet you're making here.

Key Data	
Price (USD)	\$212.99
12M Price Target	\$245.00
Upside / (Downside)	+15.0%
Market Cap	\$191.17B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	74.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$215.00	\$190.00
6 Months	\$270.00	\$245.00	\$180.00
1 Year	\$320.00	\$260.00	\$170.00
2 Years	\$400.00	\$300.00	\$160.00
5 Years	\$550.00	\$380.00	\$140.00
10 Years	\$800.00	\$500.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — the AWS "sold out through 2028" comment is essentially a green light for the entire AI supply chain. Materials also strong (+1.5%), likely tied to data center buildout demand for copper, rare earths.

COOLING OFF: Healthcare bounced today but is still down on the week — rotation out of defensives into growth. Comm Services flat suggests the ad-driven tech names aren't participating in the AI rally the same way.

ROTATION WATCH: Money is flowing from megacap tech (post-Musk/Nvidia noise) into the "picks and shovels" AI names — Marvell, SanDisk, SK Hynix. This is smart money betting that the beneficiaries of AI capex are the component suppliers, not just Nvidia.

RELATED PLAY: If you believe the AWS story, the second-order plays are data center REITs (DLR, EQIX) and power infrastructure (VST, CEG) — AI data centers need 10x the electricity of regular ones.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Direct Marvell peer in custom AI silicon — benefits from same hyperscaler capex story, but larger and more diversified.
- SNDK (SanDisk): Memory/storage play, named in the same rally headline — AI training needs massive storage, and the China optical ban is boosting US suppliers broadly.

MRVL CONTEXT: Marvell is at 56% of its 52-week range, meaning it's been more volatile than peers but also has more room to run if the AI narrative holds. It's leading the rally on percentage basis but lagging AVGO on absolute market share of AI silicon revenue — that's your opportunity if you think Marvell is catching up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$195-205 on AI sector pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Google custom silicon program, or China export ban expansion to include Marvell IP

Hedging: Buy protective puts or pair with short position in a pure-play AI name at richer valuation